



History of Economic Thought

ECON-304
Semester 05

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What History of Economic Thought is all about?

- It deals with different thinkers and theories in the subject that became political economy and later economics, from the ancient world to the present day.
- It encompasses many different schools of economic thought. History of economics thought deals with the origin and development of economic ideas and their interrelations.
- It is a historical account of economic doctrines

Definitions

- According to H.L. Bhatia history of economic thought includes the doctrines and generalizations of various thinkers which deal with the economic phenomena of our life. It went through a lot of evolution with specific contributions from various thinkers that had great impact upon the future of economic thought.
- Prof. Haney defines history of economic thought as a critical account of the development of economic ideas, searching into their origin, interrelations and manifestations.
- Prof. Bell says the history of economics thought is the

Importance

1. The study of history of economic thought clearly shows that there is a certain unity in economic thought and this unity connects us with ancient times.
2. The study helps us to avoid committing the same mistakes of the earlier economic thinkers.
3. The significance of history of economic thought is that it is an important tool of Knowledge.
4. It helps students to know that economic ideas are conditioned by time, place and circumstances.

6. The study enables us to know the economic thinker responsible for the formulation of certain important economic principles and concepts.

7. The study of History of economic thought will help us to understand the origin of economics as a discipline.

8. The study will help students to know that economic ideas have been instrumental to the shaping of economic and political policies of different countries of the world.

9. A study of the History of economic thought will help to provide a broad basis for comparison of different economic ideas. It will enable a person to have a well-balanced and reasonable judgment.

Approaches to study the subject

The history of economic thought can be studied and analyzed by adopting different approaches;

1. Deductive or Classical approach
2. Inductive approach
3. Chronological approach
4. Conceptual approach
5. Philosophical approach
6. Neo-Classical approach
7. Welfare approach
8. Keynesian approach
9. Institutional approach

1. Deductive or Classical Reasoning Approach:

It works from the more general to the more specific. The classical believe in the universal application of economic laws. They adopted the deductive approach. Sometimes this is informally called a "top-down" approach.

We might begin with thinking up a theory about our topic of interest. We then narrow that down into more specific hypotheses that we can test. We narrow down even further when we collect observations to address the hypotheses. This ultimately leads us to be able to test the hypotheses with specific data - a confirmation (or not) of our original theories.

Example; All birds have wings..... 1st premise (major or general rule) Eagles are birds..... 2nd premise (Specific

2. Inductive Reasoning Approach:

The Historical school emphasized on the inductive method. These economists believe that the laws of economics are not universal in nature.

Inductive reasoning works the other way, moving from specific observations to broader generalizations and theories. Informally, we sometimes call this a "bottom up" approach

In inductive reasoning, we begin with specific observations and measures, begin to detect patterns and regularities, formulate some tentative hypotheses that we can explore, and finally end up developing some general conclusions or theories.

3. Chronological approach: The Chronological approach discusses economic ideas in order of time. The economic ideas of different economists can be presented year wise and can be studied. In this approach we can find continuity in the economic ideas of different economists.

4. Conceptual approach: This approach speaks about the evaluation of different economic concepts (ideas) and the interdependence of these concepts. Conceptual approach can also be called ideological approach.

5. Philosophical approach: This was first adopted by Greek philosopher, Plato. In the past economics was considered as a handmade of ethics. Naturally philosophical approach was adopted by the very early writers/thinkers to discuss economic ideas.

6. Neo-Classical approach: This approach aims at improving the classical ideas by modifying them. The Neo-classical approach was first adopted by Marshall. The Neo-classical approach believed that "Inductive and Deductive reasoning are necessary for the science of economics just as the right and left feet are necessary for walking".

7. Welfare approach: This approach mainly aims at providing the basis for adopting policies which are likely to maximize social welfare.

8. Institutional approach: The institutionalists questioned the validity of the classical ideas and gave more importance to psychological factors.

9. Keynesian approach: This is a major development in modern economics and is associated with the name J.M. Keynes. His approach is new and different from the classical school. It takes into consideration the operation of business cycles that affect the entire economic policies. Keynesian approach deals with the problem of the aggregate economy as a whole.



Overview of Ancient Greek, Roman and Medieval Economic Thought

Ancient Economic Thought

1. The predominance of ethics, religion and philosophy undermined the importance of economic ideas and no value was attached to an independent study of economic problems.
2. 'State' was the supreme authority. Economics could only develop as a hand-maid of politics.
3. The pursuit of material objects, gratification of sensual desires and the acquisition of wealth were not considered as sources of eternal happiness. Good and moral actions were taken to be the essence of virtue and the summum bonum of life.
4. The value and significance of labour and the dignity of physical labour were not properly appreciated.

(5) The problems of international trade and commerce and of public finance, especially public debt, did not engage the attention of early writers.

(6) Conquest of territories, forced labour etc., were the recognized means of increasing wealth and property.

(7) The wants of man are limited. Economic organism being simple.

(8) State did not encourage individual liberty, choice and decisions in the absence of which the economic structure could not grow in a natural way.

CONTRIBUTION OF THE EARLY THINKERS- **The Hebrews**

- The Hebrews were a nation of ancient civilization whose history dates back to 2500 B. C.
- The main source of their history and ideas is the writings of the Hebrew prophets.
- Their ideas are contained in the rules of conduct and laws enunciated and formulated by the sacerdotal class.
- These injunctions or commands were the standard of all thought and action. The Old Testament is the most important and original source of information regarding the economic thought of the Hebrews.

Economic Thought of Hebrews

1. Usury or Interest: They prohibited the usury. If the thing accepted in return was more in value than what was given to the borrower, it was considered to be an act of usury.
2. Commerce and Just Price: The Hebrews exercised great care in formulating laws against false weights and measures and adulteration of articles of consumption.
3. Labour: The Hebrews regarded all kinds of labour as dignified
4. Agriculture and Industry: The Hebrews held agriculture in high esteem while they looked down upon trade. The Hebrews did not encourage manufacturing of goods and commerce to any considerable extent.

5. Seventh and Jubilee Years.

The Hebrew prophets evolved a peculiar method of regulating and restricting the alienation of land by instituting the seventh and Jubilee years. The seventh year was one in which the land lay uncultivated, i.e., after tilling it for six continuous years, the land was not to be cultivated for one year. It was designed to conserve the fertility of the soil.

The Jubilee Year meant the fiftieth year. According to this provision the land transferred to some one, was to revert to its first owner in the fiftieth year. Thus, sale of land really amounted to no more than lease.

Characteristic - features of Hebrew economic thought

1. The social philosophy was over-simplified.
2. Religion, ethics, law, economics, philosophy-all were inextricably bound together, but there was a predominance of religion and ethics.
3. Their everyday life was strictly regulated by the rules of conduct and laws formulated by the dominating class of priests.
4. One of the most striking characteristics of their economic thought was the conflict between economic stimuli and ethic-religious ideas. There were many factors which retarded economic progress.
5. Another characteristic feature was the fixity of their ideas.

Greek Economic Thought

The Greek economy was never treated as a separate subject. It was inextricably bound up with political science and ethics.

Religion was part of the machinery and the mystery of the state.

The economic ideas of ancient Greeks are contained in the teachings of Greek philosophers

Plato (427-347 B.C): Economic ideas of Plato

1. Origin of State: He stated that a state arose, out of the needs of mankind; and as people had many wants, many persons were needed to supply them; and when helpers and partners lived together in one habitation, the body of inhabitants was termed a state.
 - Plato distinguished five types of government. They are;
 - a. Aristocracy - Rule by the best.
 - b. Timocracy - Rule by the Soldiers
 - c. Oligarchy - Rule by a Few
 - d. The rule by the Wealthy
 - e. Democracy

2. Regulation of Population The ideal size of a state, according to him, should be such as it can be conveniently administered and in which all citizens may know each other. A city state comprising 5,040 citizens was considered an ideal organization

3. Division of Society: The ideal city state which was to be ruled only by an intelligent and planned government (he was against democracy) should have classes. Among the ruling class were included philosophers, aristocrats and warriors. Among the ruled class were included menials, workers, agricultural labourers and craftsmen.

4. Property and Governance: For each class of people Plato had suggested ideal property arrangements. Only farmers and artisans were allowed to work to profit; and accumulate property. The rulers and auxiliaries could not enjoy property rights.

5. Division of Labour: Plato's division of labour or his concept of specialization and exchange depended upon two things; diversities of natures and aptitudes.

6. Slavery : Plato regarded slavery as a permanent factor in the civilization of mankind

7. Money: Plato recognized the value of money as medium of exchange. He did not favor the idea of allowing gold and silver to be common to men. Instead Plato suggested the use of domestic coins for payment of wages and other transactions. Plato wanted the state to have a common Hellenic currency for the use of travelers, ambassadors, visitors etc.

8. Interest: Plato prohibited interest taking for loans in the ancient Greek. But later on he permitted interest taking as a penalty for delayed payment.

Economic Ideas of Aristotle

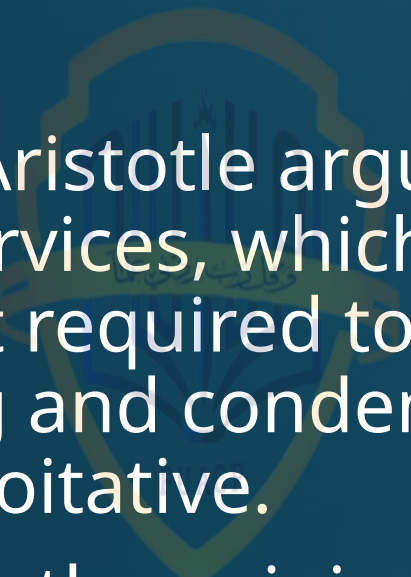
- Aristotle (384-322 B.C.), The Greek philosopher who really laid the foundation of economics as a science.
- The most important thinker, who has ever lived, advanced a body of thought with respect to the development of the components of a market economy. He was the student of Plato.
- He analyzed the economic processes surrounding him and endeavored to delineate the place of economy within a society that included commercial buying and selling. He was the first analytical economist.

1. **Origin of State:** According to him, the state was a natural organism. He viewed economic problems from a political state was a natural organism. He viewed economic problems from a political standpoint. Aristotle believed that the state should play a role in regulating economic activities to ensure fairness and prevent exploitation. He emphasized the need for laws and policies that promote a just and stable economic system.
2. **Private Property:** Aristotle recognized the importance of private property as a means for individuals to pursue their self-interest and provide for their families. However, he also stressed that property rights should be tempered by a sense of social responsibility and the common good. He did not agree on a community property as it would lead to disputes; but advocated private property.

3. Natural Economy and Chrematistics: Aristotle divided economy into two parts; (a) natural economy or household management and (b) chrematistics or artificial or wealth getting economy.

4. Wealth and Money: Aristotle distinguished between natural wealth, which includes resources like land and livestock, and artificial wealth, which includes money. He considered natural wealth to be more valuable because it has a direct connection to human sustenance and well-being. He said that money came to be introduced to facilitate commercial dealings

5. Value and Exchange: Aristotle recognized that goods and services have value and can be exchanged. He believed that the value of an item is determined by the amount of labor required to produce it..



6. Just Price: Aristotle argued that there is a "just price" for goods and services, which is determined by their inherent value and the effort required to produce them. He criticized excessive profit-seeking and condemned usury (charging interest on loans) as exploitative.

7. Property: In the opinion of Aristotle, property was part of a household and the art of acquiring property was part of the art of managing a household. Property did not include slaves. In contrast with Plato, he criticized communism; and favored private property.

8. Distribution of Wealth: Aristotle advocated for a fair distribution of wealth within a society. He believed that extreme inequality would lead to social unrest and emphasized the importance of a middle-class or a broad distribution of property ownership.

Roman Economic Thought

1. Romans were the men of action. They approached the economic problems of the day from the political standpoint; thus their specific contribution to economic thought is very little.
2. Contribution of Roman thinkers: Agriculture: Cato, Varro, Pliny and Columella praised agriculture and were chiefly interested in the improvement of agricultural technique.
3. Value: According to them, price was determined by the forces of demand and supply. In due course of time the concept of just price developed which showed some regard for ethical considerations.
4. Money and Interest : Pliny the Elder favoured barter because to him, gold was the cause of the ruin of mankind.
5. Commercial Regulations: The Roman State interfered with economic matters and commercial regulations in difficult times.
6. Division of Labour: In his writings Cicero laid emphasis of division of labour in economic activities as it conferred several advantages.

Roman Jurists

1. Roman jurists were chiefly concerned with the framing of laws and evolving doctrines to regulate the commercial mechanism of Rome. They were the most original Roman thinkers.
2. Although they did not take up any economic question and did not enter into economic discussion and for them ethical or political considerations were more important than the economic ones, their view were of immense economic importance as their influence on the later method of approach to economic questions has been the profoundest.
3. Natural law: The Roman jurists evolved two bodies of law—jus civile and jus gentium. The former was the law applicable to the citizens of Rome. It was a natural law. The latter was applicable to all the foreigners.



4. Private property: Their views concerning private property and contract had great effect upon the development of economic thought; they discarded the communal ownership of property.

5. Non-personal elements: Roman jurists attached great importance to the non-personal elements in law and they had completely separated them from the personal elements. They thus separated law from religion and helped the development of the Roman legal system in a more scientific way.

Economic Thought in Medieval Ages

The period between 470 A.D. to 1453 A.D. covering about 1000 years is generally known in history as the Medieval period or the Middle Ages.

It is the most ill defined period in the world history, and roughly it has been put between the years 400 A.D. to 1500 A.D. This period has been dubbed as the Dark Ages.

It is believed that during these years, economic thought has moved at a very slow speed, when compared with the rapid progress it has made in later years.

Characteristics of the Early Medieval Social Order

In the early middle ages, especially during the years from 500 A.D. to 1200 A.D., economic ideas were influenced by the customs and traditions of the German society.

The village community was the economic unit with families as the self-sufficient sub-units. There was complete freedom of opinion.

The spirit of brotherhood was dominating. Barter was the prevailing form of exchange and profit earning through exchange was prohibited.

They attached more importance to individual rights in land. The Church and the moral teachings of Christianity had also their share in moulding the early medieval economic thought.

Most of the ancient institutions were shattered to pieces under the influence of Christianity, which pleaded for (a) spirit of brotherhood, (b) equality of rights, (c) abolition of slavery, (d) dignity of labour, (e) purity of family life, (f) generous help to the downtrodden, (g) communal ownership of property, etc.

Consequently, profit and interest were despised, agriculture was given the pride of place.

Characteristics of the Later Medieval Society ;The later medieval social order was characterized by the division of society into lords and serfs.

The dominance of and the part played by the Church was the most important unifying factor

CHIEF FEATURES OF MEDIEVAL THOUGHT

- Feudalism and the dominance of the Church were the two characteristic features of the medieval social Structure.
- Manual labour was considered exalted and noble.
- Economic problems and practices, were considered in the context of moral and spiritual considerations.
- Idea of justice pervaded all human relations and conduct of life.
- Spiritual well-being was the end and hence the rules were framed and executed by the Church.

St. Thomas Aquinas (1225-1274 A.D.)

-Most renowned scholastic philosopher. His Economic Views or Scholasticism:

1. Individualism. Schoolmen in general despised individualism and scorned the idea of laying emphasis on human personality as the basis for economic decisions
2. Property. St. Aquinas did not uphold the exclusive and unrestricted rights in private property.
3. Trade. St. Aquinas regarded trade neither good nor natural. It was unnatural and graceless Value was considered as an objective quality inherent in every commodity. Its measure was dependent upon a process of estimation of the cost of production which covered labour.
4. Just Price something like value was absolute and was associated with the common usefulness of the commodity.
5. Usury and Money-lending. Money-lending, as a means of gaining wealth was considered by the Church Fathers as the most degraded act.

6. Division of Labour. Division to labour was accepted as useful.

7. Economic Functions of the State. The state was likened to a private economy and the office of the ruler was regarded as private property. Aquinas believed that by money the king could purchase food for his subjects, in times of war. The king, thus, possessed the right to control and regulate the monetary system and to make laws for the prevention of counterfeiting and clipping of coins. The regulation of currency was thought necessary, because a slight change in its quantity might affect its price.